FX Daily: Oil and equity volatility taking dollar back up

The release of emergency oil stockpiles hasn't calmed the oil market, with overnight disruptions in Oman and Iraq taking Brent back to around $100/b. Equity futures also point to losses today, potentially paving the way for a testing of 1.150 in EUR/USD. AUD is vulnerable to weakening risk sentiment, but RBA rate hike bets provide some support

The release of emergency oil stockpiles has done little to steady the market

USD: Ideal environment for the dollar

The IEA's release of 400 million barrels of crude reserves and Trump s use of emergency powers to revamp Stable s offshore oil production both failed to keep oil prices under pressure yesterday. That's before Oman evacuated its export terminals, and two oil tankers were attacked in Iraqi waters, which prompted Brent to trade back around $100/b ($98 at the time of writing).

This latest leg higher in oil is giving broad-based support to USD, CAD and AUD, the three big winners so far in G10, thanks to their energy position. Today, with equity futures pointing to a 0.5-1% negative open in the US and Europe, we think USD is in a safer spot than CAD and AUD –

especially AUD – which have relied on some relative resilience in global stocks alongside the energy rally.

In US domestic news, CPI was benign yesterday, but that doesn't matter much as rising gasoline prices now point to 3%+ headline inflation. 2-year USD swap rates have risen around 25bp since the start of the conflict, but one rate cut is still priced in by year-end.

Understanding how far the conflict and supply shocks will last remains the priority for markets. We discussed yesterday how emergency measures to ease oil supply disruptions may be sending a hidden negative signal to markets that world leaders see little room for quick de-escalation. The reaction in oil and equities yesterday might be mirroring that. It also seems that markets are growing more resistant to Trump headlines about the US being close to achieving all its military targets.

It's still a headline-to-headline environment in FX – but signals from equities and oil are arguing for more USD strength at the moment.

Francesco Pesole

EUR: No gas crisis like 2022, but 1.150 can be broken

Our commodities team discusses in this note why this shouldn't be a repeat of 2022 for gas prices. The disruption to LNG flows from the Persian Gulf is sizeable, but it's expected to be temporary rather than the structural break Europe faced when Russian pipeline gas collapsed. Also, global gas markets are better supplied, a large pipeline of new LNG export capacity is coming online, and EU gas demand sits well below pre war levels.

The broader backdrop is also much less hostile than it was in 2022. Europe has bolstered renewable capacity, diversified away from single supplier dependencies, strengthened storage management and introduced joint gas purchasing – all of which help contain volatility. Market infrastructure is more flexible, and electricity prices should remain more anchored as a result.

That underpins our resistance to follow market pricing in calling for a rate hike by the ECB later this year. That said, the risks are clearly shifting more hawkish with the war and oil supply shocks extending, as now admitted by a few ECB speakers.

In the near term, that hawkish repricing doesn't matter for EUR/USD, though, which has lost its sensitivity to front-end rates as it often does in times of external shock. The pair remains a mirror of oil prices in intraday action, and the bearish momentum (equity weakness adding to it potentially) can prompt a testing of 1.150. A break lower means the next technical supports to watch would be August's 1.140 low.

Francesco Pesole

GBP: Markets look too hawkish on BoE

EUR/GBP continues to show a negative correlation to oil prices, in our view, primarily on the back of the notion that the UK has had a bigger inflation problem and the Bank of England's policy is set to be affected by energy prices more deeply.

Our concern remains that markets have priced out BoE easing too aggressively. The two-year GBP swap rate has jumped 50bp since the Iran conflict started, with now no rate changes expected by year-end. Any positive surprises on the de-escalation front carries meaningful EUR/GBP upside risk, in our view.

Our valuation metrics also suggest a move below 0.860 would be rather stretched unless markets start to seriously price in a rate hike by the BoE.

Francesco Pesole

AUD: Heavy betting on RBA hike next week

The Aussie dollar remains the big winner in G10. We discussed in the USD section above how equity instability remains a major correction risk for AUD, but we must also note that markets are turning rather aggressive in pricing another RBA hike on 17 March.

The implied probability of a 25bp increase next week is now 70% in the Cash Rate future market, and economic consensus also seems to be aligning with the hike call. That is offering more tailwind to AUD, with CME reporting a large surge of call option volume driven by aggressive speculative flows ahead of the RBA announcement.

In a scenario where oil prices remain high, but equities show more signs of relative resilience, 0.720 appears to be a very reasonable target for AUD/USD going into the RBA decision. We could then see a sell-the-fact correction given aggressive positioning and the RBA striking a cautious tone on further tightening, given high uncertainty.

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Eurozone households are first to feel the pain of the current oil price shock

Fuel prices are surging again, and for many households, filling up now hurts almost as much as during the 2022 energy crisis

In some eurozone countries, the cost of a 50-litre tank of petrol has risen to levels last seen in 2022 when Russia invaded Ukraine

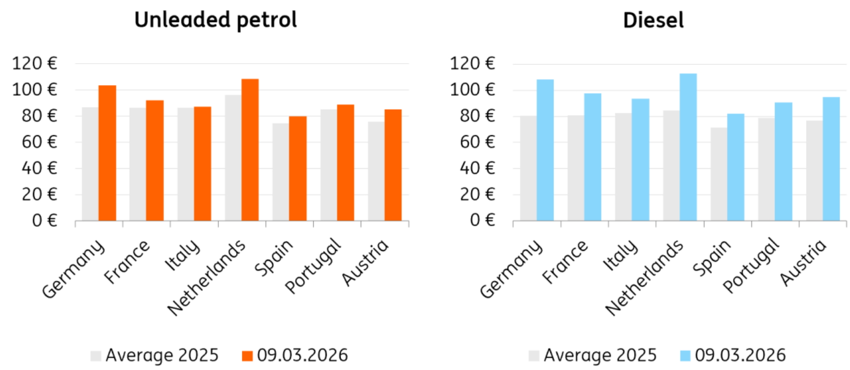
It's a fast-moving environment, which currently only allows to think in terms of scenarios rather than conviction calls. And while forecasters around the globe are currently grappling to adjust their macro forecasts – uncertain about how long the war in the Middle East and the disruption to the Strait of Hormuz will last – one part of the economy is already feeling the economic pain: households. More precisely, car-driving households. Any surge in oil prices is felt most immediately in one place – the petrol station.

Pain at the pump for European consumers

Our colleague Warren Patterson has written extensively on recent oil price developments and the possible scenarios ahead. We also know that it takes a while for the full macro impact of higher energy prices to unfold. Industrial companies typically hedge (at least some of) their energy purchases in forward markets, while households' utility contracts usually run for one or two years. This was, for example, one of the reasons why during the 2022 energy crisis, it was energy companies that ran into financial trouble first, as they were unable to pass on higher procurement costs to end consumers. One place where consumers are not shielded by hedging strategies or longer term contracts, however, is at the petrol station.

Even before oil prices reached this week's painful highs, the jump in retail fuel prices had already pushed the cost of a standard 50 litre tank of petrol to levels last seen in 2022 in several major eurozone economies. Compared with the week before the joint US Israeli strike on Iran, the price of a tank of unleaded petrol has risen by between €4.50 in Italy and €13.00 in Germany. For diesel, the increase has been even steeper, ranging from €8.40 in Italy to €21.50 in Germany. Relative to the 2025 annual average, German households have been hit particularly hard: they are now paying roughly €17.00 more per tank of unleaded petrol and around €28.00 more for diesel than they did on average last year. Dutch households are facing a similarly sharp increase in fuel costs.

Cost of filling a 50-litre tank with unleaded petrol or diesel

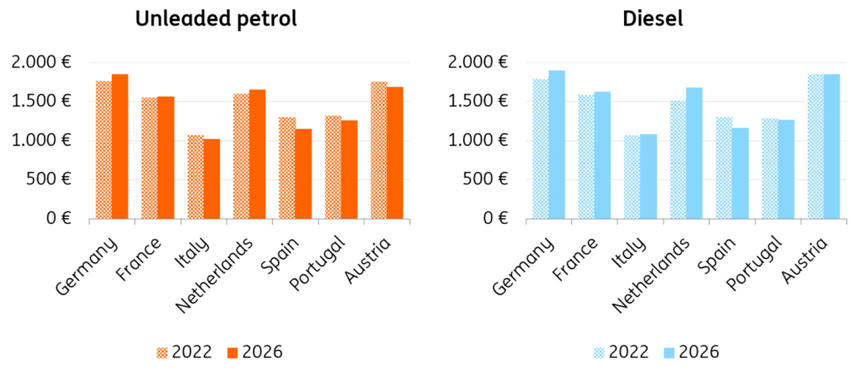


Source: European Commission; ING Economic & Financial Analysis

The fact that prices within the eurozone, and across fuel types, vary widely in general is also due to excise duties, for which there is a minimum threshold of €0.359 per litre of unleaded petrol and of €0.330 per litre of diesel set by the EU. However, most member states have set higher values, resulting in an average excise duty on petrol of €0.570 per litre and of €0.468 per litre on diesel. At €0.845 per litre, the duty on unleaded petrol is highest in the Netherlands, while at €0.673, Italy has the highest duty on diesel. These tax differentials are the main reason why two households facing the same global oil price can still experience very different fill up costs.

The extent to which these price increases cut into household budgets also depends heavily on how much people drive per year. At almost 14,000 kilometres, Austria tops the 2023 list – the most recent date for which comparable data is available, followed by Germany with around 12,500 kilometres per year. This means the same price increase hits Austrian and German households much harder than, for example, Italians, who drive only around 8,000 km per year.

Average annual fuel expenses



European Commission; Odysee Mure; ING Economic & Financial Analysis; based on an average fuel consumption of 7.35 liters per 100 kilometers; 2026 is based on the assumption that the price from the 10th calendar week will apply for the rest of the year.

Looking at driving behaviour in recent years shows that cutting fuel costs by simply driving less is unlikely. Significant deviations from the long term average only occurred during the pandemic years, when widespread working from home arrangements reduced the need to commute. Gasoline prices were not a motive. Since then, mileage patterns have started to normalise, suggesting limited scope for households to offset higher prices by changing their driving habits.

Ultimately, this implies that eurozone households will once again need to devote a larger share of their disposable income to fuel, with German households facing the largest increase. For them, the share of disposable income spent at the fuel pump is expected to rise to 3.5%, up from 2.8% last year. Overall, the share of disposable income devoted to fuel ranged from around 2% in the Netherlands and 4.5% in Portugal last year.

Drivers might slam the brake on any recovery in private consumption

Although we currently assume in our base case scenario that the impact of the war in the Middle East on markets, and thus on the eurozone economy, should not be long-lasting, the recent rise in energy prices is likely to put additional strain on consumer confidence, which is already markedly low. Given the old adage that gasoline prices rise like a rocket but fall like a feather, it is not just confidence that is being hit, but actual purchasing power.

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The Commodities Feed: Record oil release fails to rein in prices

Brent crude is flirting dangerously close to the $100/bbl level once again, with the IEA s coordinated oil release doing little to ease supply fears

Energy- IEA announces record oil release

The oil market resumed its upward rally yesterday, with ICE Brent settling 4.8% higher on the day. This strength has continued into early morning trading today, with Brent moving close to the $100/bbl level. The increase comes despite the International Energy Agency (IEA) announcing a coordinated emergency release of up to 400m barrels. It's a record amount, eclipsing the 182m barrel emergency release from 2022. We re still waiting for the IEA to provide full details of the release.

The key question is, why is the market rallying despite this large release? First, there are no signs of de-escalation in the Persian Gulf, so there is no end in sight to the disruptions to oil flows through the Strait of Hormuz. In addition, regarding the IEA-coordinated release, there are concerns about the speed at which this oil will reach the market and whether it will be enough to tie up the market until we see oil flowing through the Strait of Hormuz again. As part of the coordinated action, the US will start releasing 172m barrels from its strategic petroleum reserve from next week. This will take approximately 120 days to complete. This works out to a US release of around 1.4m b/d. If you assume a similar timeline for other countries, that works out to 3.3m b/d- far short of the supply losses we are seeing from the Persian Gulf.

As we have said repeatedly, the only way to see oil prices trade lower on a sustained basis is by getting oil flowing through the Strait of Hormuz. Failing to do so means that the market highs are still ahead of us.

Middle distillate markets remain well-supported by ongoing supply disruptions, with the ICE gasoil crack trading above $40/bbl. The firm support in the gasoil market is largely being driven by the jet market, with the regrade trading at around $300/t, up from $70/t ahead of US-Israeli strikes on Iran. Around 23% of global seaborne jet fuel trade moves through the Strait of Hormuz, with Europe also heavily reliant on supply from the region.

Energy Information Administration (EIA) data shows that US crude oil inventories increased by 3.82m barrels over the last week. This was largely driven by trade, with crude oil exports falling 563k b/d week-on-week. Despite refiners increasing their utilisation rates by 1.6 percentage points over the week, gasoline and distillate stocks still fell by 3.65m barrels and 1.35m barrels, respectively.

European gas markets remain well-supported amid tightening in the global LNG market. TTF rallied almost 5.5% yesterday, settling just shy of EUR50/MWh. JKM continues to trade at a healthy premium to TTF, indicating that spot LNG cargoes will be diverted to Asia. This will be a concern for Europe if this continues, given the EU s current tight storage levels, with storage just 29% full. Investment funds have jumped into TTF amid the growing supply concerns facing the global LNG market. Funds bought 74.9TWh to leave them with a net long of 196.4TWh, the largest position since February 2025.

Metals - Aluminium rises on Middle East supply risks

LME aluminium prices edged higher, trading around four-year highs, as supply disruption risks linked to the Middle East conflict support the market. The situation remains unstable, leaving aluminium highly sensitive to geopolitical headlines and keeping volatility elevated. The Middle East accounts for around 9% of global aluminium supply, and Gulf producers are among the largest suppliers of primary aluminium to the global seaborne market.

Signs of physical tightness are becoming increasingly pronounced. Cancelled warrants jumped by 96,050t to 178,600t earlier this week, the largest daily increase since May 2024. This lifts cancellations to around 40% of total LME aluminium inventories, up sharply from just 9% at the start of the month. Most of the cancellations were concentrated in Port Klang, Malaysia.

Aluminium remains structurally tight relative to other base metals. Accelerating stock withdrawals suggest the downside should remain limited despite broader macro headwinds.

Agriculture– Arabica coffee declines on improving supply outlook

Arabica coffee prices fell for a second consecutive session, briefly dropping more than 4% yesterday. This reflects favourable weather in Brazil and rising exchange inventories, which improved supply prospects. Forecasts indicate additional rainfall across major growing regions this week, which will support soil moisture and crop development. ICE monitored stocks at US port warehouses increased for the tenth straight session to 564.6k bags as of 10 March, the highest level since 30 September 2025. This is easing concerns about near-term tightness. Supply availability is expected to improve further once Brazil's harvest begins.

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7 reasons why Europe can deal with a gas shock better than in 2022

Events in the Persian Gulf and the resulting LNG supply disruptions will give many in Europe flashbacks to 2022. However, we believe Europe is better placed now to weather this supply shock

Quatar Energy recently stopped producing LNG after drone attacks

Persian Gulf energy supply shock sparks flashbacks to 2022

Europe had just about shaken off memories of the 2022 energy crisis. Global energy markets were set to be well supplied through 2026, suggesting weaker energy prices this year. But this view has been upended by developments in the Middle East. While the supply impact from the disruption in Persian Gulf energy flows is significant, particularly if we are to see prolonged supply issues, we do not think this is a repeat of 2022 for Europe - the impact is expected to be lower.

We do not believe European gas prices will trade to the peaks seen in 2022; global gas markets are relatively better supplied, while a large pipeline of LNG export capacity is coming onto the market in the years ahead. That said, clearly, how high prices go will ultimately depend on how long supply disruptions in the Middle East persist. Expectations that gas prices will not reach the elevated levels of 2022 also suggest that electricity prices will be more contained.

In addition, Europe is relatively less exposed to the gas market, with the region having reduced its reliance. EU gas demand is 16% below pre-Russia-Ukraine war levels. Furthermore, the EU would have learnt invaluable lessons from the 2022 energy crisis, which leaves it better prepared to navigate any future supply shocks.

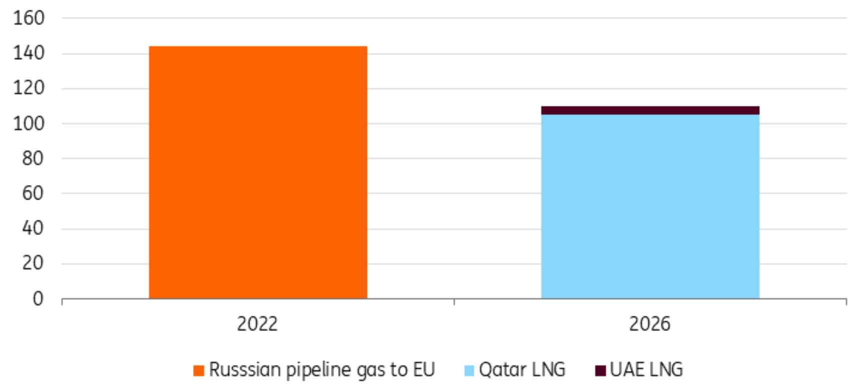
Here are seven reasons why we believe things are different this time for Europe.

1 The current energy shock should be temporary, 2022 was more structural for Europe

The amount of LNG disrupted by developments in the Persian Gulf is significant. Between Qatar and the UAE, roughly 110bcm of annual supply is currently affected, which is 20% of global LNG trade. The volumes are significant but still less than the 144bcm of Russian pipeline gas, which was at risk heading into 2022.

However, the key difference is that current supply disruptions are temporary. Yes, there is plenty of uncertainty about the duration of the disruption, but ultimately, supply will return. This is different from 2022, when the market was of the view that we were set to see a more structural shift in gas supply to Europe. Essentially, the market had the view that a loss in Russian gas supply would be final, with a very low probability that flows would ever resume.

2022 vs. 2026 gas supply disruptions-annual supply (bcm)



Source: Bruegel, ING Research

Note: Russian pipeline flows to the EU are 2021 volumes

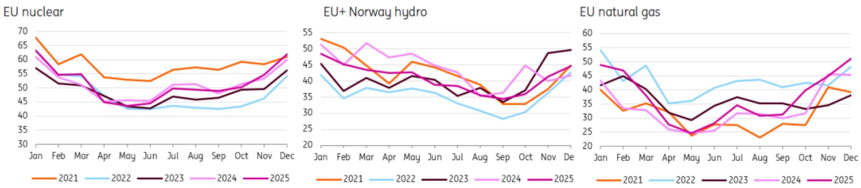
2 Europe faced a perfect storm in 2022

In 2022, it seemed that almost everything that could go wrong for Europe did. Not only was the region dealing with reduced gas flows from Russia, there was also uncertainty over further losses. But other sources of electricity generation also struggled.

The largest nuclear power producer in the EU, France, saw significant maintenance work carried out through much of the year due to corrosion issues, resulting in annual nuclear output falling to its lowest level since 1988 and 30% below the annual average over the last 20 years. Similarly, Europe was also having to deal with lower-than-usual hydro power output.

Lower nuclear and hydro meant the power sector had to lean more heavily on fossil fuels, including natural gas, for generation needs, at a time of significant supply uncertainty.

European power generation by selected source (TWh)



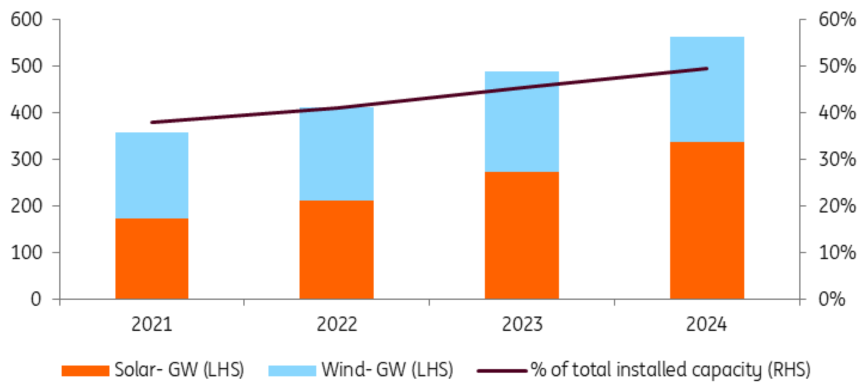
Source: Eurostat, ING Research

3 Installed renewables capacity in the EU has grown significantly

Renewables capacity in the EU has also grown strongly since the end of 2021. Bloomberg New Energy Finance numbers show that installed capacity for solar and wind has surged by 57% between 2021 and 2024. Estimates suggest that capacity increased by a further 15% in 2025. This would have been supported by REPowerEU, the European Commission's plan to support energy transition and reduce the EU's dependence on Russian fossil fuels.

However, under the marginal pricing system in electricity markets, the highest-cost source of power sets the price, which is usually natural gas. This means stronger gas prices can still cause electricity prices to surge, even if gas power generation makes up a smaller part of the electricity mix. The European Commission is considering reviewing the system, though several member countries are pushing back against changing the current mechanism.

Installed renewables capacity has grown in the EU



Source: BNEF, ING Research

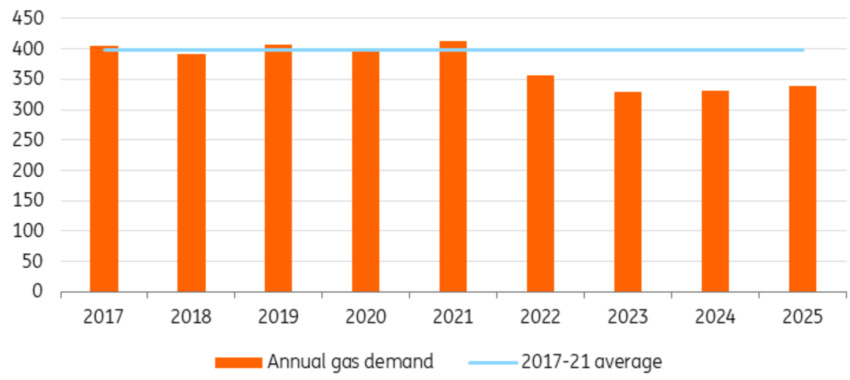
4 Europe has reduced its reliance on natural gas since 2022

From a demand perspective, the EU is also less reliant on natural gas supplies than it was prior to Russia's invasion of Ukraine. We have seen permanent demand destruction when it comes to natural gas following the energy crisis of 2022, and while gas demand has slowly edged higher since 2023, it is still 16% below 2017-21 levels.

The permanent loss in demand from the EU would be partly due to the ambitions of REPowerEU, but also to the lack of competitiveness of energy-intensive industries in Europe because of high energy prices. For example, the chemicals sector has seen production capacity fall by 9% since

2022.

EU natural gas demand well below pre-Russia-Ukraine levels (bcm)



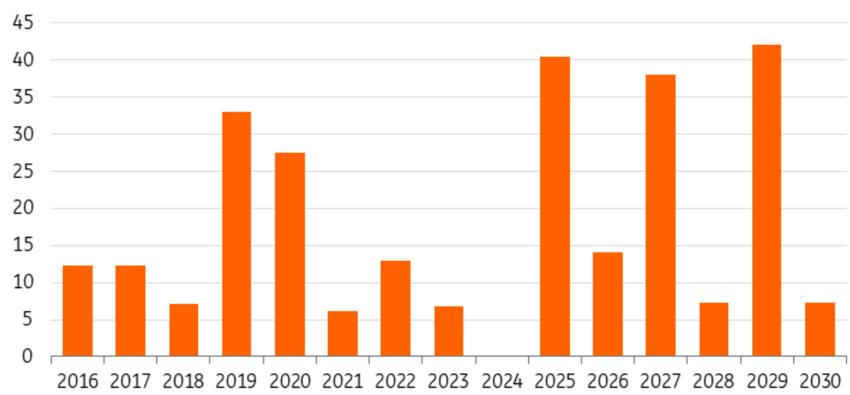
Source: Eurostat, ING Research

5 The pipeline of LNG export capacity is significant, a big change from 2022

The shift we saw from Europe in 2022 away from Russian pipeline gas towards LNG tightened up the global market significantly, leaving very little slack in the system and increasing competition for spot LNG supply. In addition, the pipeline of new LNG export capacity from the US was very thin around that time. Between 2021 and 2023, only around 25bcm of new capacity came online.

Currently, the loss of Persian Gulf LNG supply leaves the market tight. However, we do have a lot more LNG supply ramping up. Once again, this is driven by the US, where between 2025 and 2027, we have 93bcm of capacity additions. There is also around 42 bcm of capacity set to start up from Qatar by 2027. Although developments in the Persian Gulf mean that some of this capacity, which was set to start up in late 2026, will likely be pushed into 2027.

Significant US LNG export capacity additions in the years ahead (bcm)



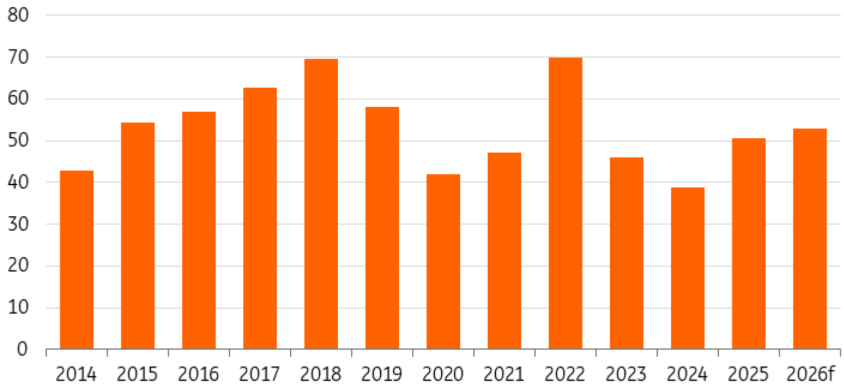
Source: EIA, ING Research

6 Europe has learnt a significant amount from the 2022 energy crisis (we hope)

One of the key drivers behind the surge in European natural gas prices in 2022 was the rush by European buyers to secure supplies, essentially buying gas at any cost. This led to the EU seeing significant net injections through 2022, in the region of 70bcm, compared to a 2017-21 average of around 55bcm. This was to ensure that the EU hit its 90% storage target by 1 November.

The EU has learnt important lessons from the 2022 energy crisis, and we are unlikely to see European buyers chasing the market higher to the degree we saw to ensure supply. Already in 2025, the EU made storage targets more flexible. While the 90% storage target remains, it can be achieved between 1 October and 1 December, and in unfavourable conditions, it could be as low as 75%.

EU net injections in 2022 hit record levels, unlikely to see a repeat in 2026 (bcm)



Source: GIE, ING Research

7 Joint gas purchasing should reduce internal competition

One of the issues in 2022 was not only that Europe was having to compete with other regions for LNG supplies, but European buyers were competing with each other for supply, which only added further upside to European gas prices.

As a result, the EU launched AggregateEU in April 2023, which essentially led to a more coordinated approach to gas buying; EU gas demand was pooled and then matched with supply offers. According to the EU, between April 2023 and March 2025, close to 100bcm of gas demand was matched with supply through the platform. However, this does not mean that European buyers bought this amount of gas, given that bilateral negotiations would have taken place outside the platform after matching.

The European Commission sees it as a useful tool in pooling demand, reducing price volatility, increasing bargaining power and reducing internal competition for supplies, given that the mechanism is now permanent, and since July 2025, it has operated under the EU Energy and Raw Materials Platform.

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Oil shock for Asia: identifying the key pressure points

Higher oil prices will hit Asia unevenly, with Thailand, the Philippines and Korea likely to feel the strain first, due to weak buffers, fast pass through and heavy import dependence, respectively. India and China are better cushioned by their ability to swap oil for coal, while Singapore and Taiwan benefit from strong fiscal and external positions

Refuelling in India, a country less exposed to oil shocks because coal still provides more than half of its energy

Where the pressures points are likely to emerge

A key question for policymakers right now is how quickly rising oil prices will begin to strain Asian economies. Under a scenario where supply disruptions last for a month and then gradually ease throughout the year, we expect Brent crude oil to average US$83/bbl, about $15/bbl higher than the 2025 baseline.

Our previous work on import exposures shows that Thailand and Korea carry the largest oil and gas trade deficits in Asia and are therefore most exposed to supply shocks and price spikes. Taiwan, the Philippines, Singapore and India follow closely, facing meaningful but more varied vulnerabilities depending on domestic buffers and pricing policies.

Below, we discuss how the impact might differ across the region, shaped by each country's energy mix, import dependencies, domestic fuel buffers and fiscal capacity to absorb subsidy costs.

Asia's fragile energy buffers

Asia's energy resilience is uneven; while Japan and Korea can absorb shocks for longer, thinner LPG buffers and heavy LNG dependence leave several economies exposed. Those with limited reserves, particularly Indonesia, could face the sharpest pressure if supply risks continue to escalate.

Energy reserve adequacy varies sharply across Asia. Japan holds the deepest cushion, with reserves covering 254 days of domestic demand, followed by South Korea at 210 days. India maintains about 74 days, while the Philippines keeps close to two months worth of supply across refined products.

While oil inventories appear broadly sufficient in the near term, LPG buffers remain notably thin, increasing vulnerability to price spikes and supply disruptions. With LNG prices up nearly 70% since the flare up, economies heavily reliant on imported gas – Thailand, Korea, and Japan – face outsized exposure to further volatility.

At the other end of the spectrum, Indonesia's reserves cover only about 25 days, placing it among the most at risk economies should disruptions persist into the second quarter.

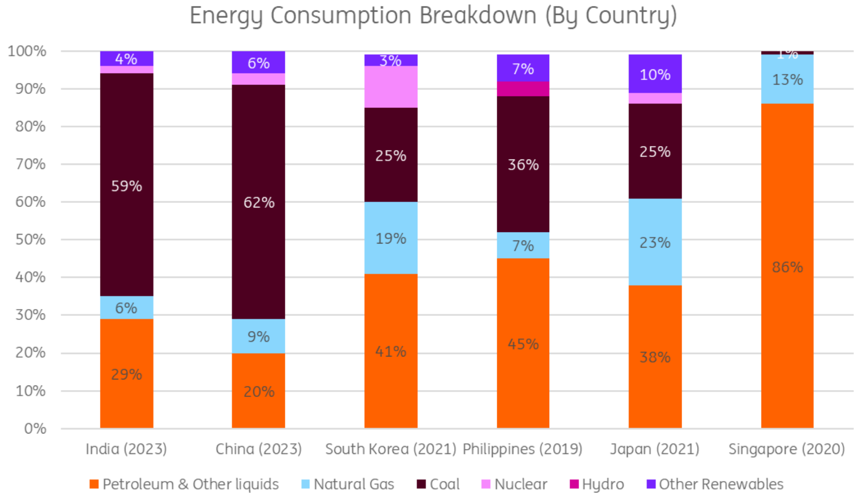
A substitution cushion: coal dependence helps India and China

A key differentiator across the region is the scope of fuel substitution. India and China benefit from a built in shock absorber because more than half of their energy supply still comes from coal. Although both remain net coal importers, their ability to substitute oil with coal at the margin provides an important cost advantage. The contrast in recent market moves is stark: coal prices have risen only about 12% since the conflict began, compared with an approximate 70% surge in natural gas. This divergence gives India and China a meaningful substitution buffer that could reduce their exposure to oil and gas price spikes to some extent.

By contrast, Korea has limited room to substitute. Its high dependency on both oil and gas leaves it exposed, even though the government has temporarily capped domestic petroleum prices. A weakening Korean won further amplifies imported inflation, prompting us to raise our 2026 CPI forecast by 0.2ppt to 2.2%, with upside risks if Brent remains above $80/bbl.

If the government continues to cap retail prices without offering subsidies, refiners will have to absorb the widening cost gap, which may not be a feasible solution for the medium term.

More than half of energy for India and China comes from coal



Source: Energy Institute

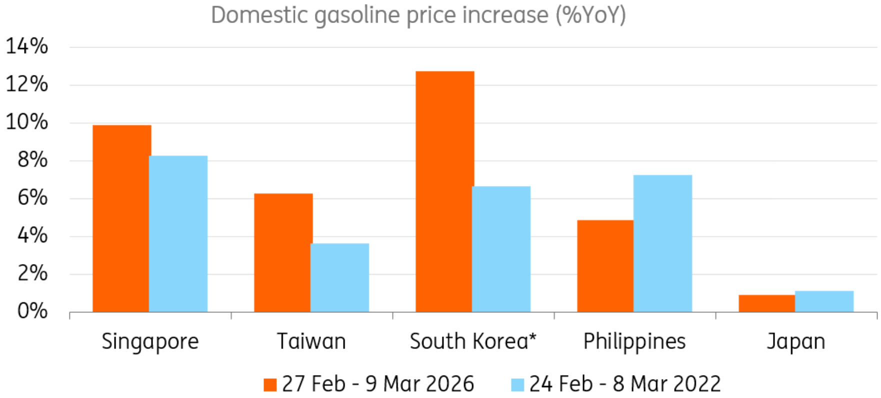
Tolerance levels: Singapore and Taiwan have the deepest fiscal cushion

Asian governments are responding very differently to higher crude prices, reflecting differences in subsidy systems, fiscal buffers and political willingness to pass costs through. Several economies – including Indonesia, Japan and India – are prioritising price stability and have held retail fuel prices unchanged despite rising global benchmarks, relying on state owned oil companies or fiscal support to cushion consumers. By contrast, Singapore and the Philippines have already raised pump prices by 10-13% since 2 March, signalling a deliberate policy choice to allow earlier pass through.

If disruptions escalate, Singapore and Taiwan appear best positioned to sustain higher oil prices, supported by relatively strong fiscal positions, healthier current account dynamics and greater capacity for targeted support. India also has meaningful tolerance, with state owned oil companies able to absorb losses until crude exceeds $130/bbl. This has kept petrol and diesel prices stable so far, although the government has adjusted LPG prices upwards.

Indonesia, however, faces a far tighter constraint. Officials have indicated a “worst case scenario” of crude averaging $92/bbl, well above the $70/bbl assumption in the 2026 budget – highlighting limited room to manage sustained shocks without broader fiscal strain. The Philippines has even less of a buffer: domestic gasoline prices rose 5% last week with another 12% increase announced, underscoring its rapid pass through, narrow subsidy capacity and higher sensitivity to global price swings.

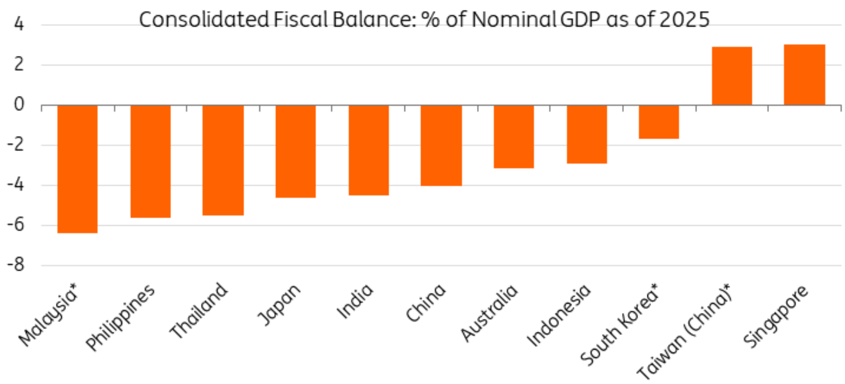
Some countries have already seen steep domestic fuel price hikes



Source: CEIC

*South Korea has announced a price cap that would be in place within this week.

Singapore and Taiwan have strong fiscal buffers



Source: CEIC, ING Research

*Data for 2024

The Philippines: fastest pass-through, higher near-term risk

The Philippines is likely to feel higher oil prices sooner than most Asian counterparts, such as Thailand or Indonesia, given its modest fuel buffers, rapid domestic price pass through and a structurally wider current account deficit. As one of the region's most oil dependent economies, alongside Thailand, Korea, Vietnam and Singapore, a sustained rise in crude has meaningful external implications. The strain is already visible, with several local governments shifting to four day work weeks in response to the recent surge in fuel costs.

Inflation dynamics will depend on how quickly higher energy costs spill over into transport, electricity and food. The 2022 episode – when inflation jumped from 4% to 8.5% as oil averaged around $100/bbl – showed how sensitive the economy is to simultaneous increases in fuel and food prices, especially when the currency depreciates. Conditions today are somewhat more stable, with rice supply from Vietnam intact and agricultural availability generally adequate. However, forward risks remain. Fertiliser prices could rise if Middle East supply tightens, eventually pressuring yields and food prices later in the year, a meaningful vulnerability given the Philippines' exposure to imported food and fuel.

Overall, we are increasing our current account deficit forecast for the Philippines to 4% of GDP in 2026. A $15/bbl increase in Brent crude could widen the Philippines' current account deficit by around 0.7% of GDP, assuming stable demand. This would increase the risk of renewed peso weakness if elevated oil prices persist. In our scenario of sustained oil disruptions for a month, CPI inflation for the Philippines is expected to inch closer to the upper end of 4% of the BSP's target range.

Market impact

While Singapore, Korea, and Taiwan benefit from sizeable current account surpluses that help absorb higher import costs, Thailand's surplus is far more modest, leaving it with less of a buffer. Meanwhile, India and the Philippines stand out as the only major economies running structural current account deficits, though India has kept its gap contained at roughly 1% of GDP in recent years.

Foreign exchange reserve adequacy adds another layer to the risk profile. Malaysia, Indonesia, and South Korea hold comparatively lower FX cover relative to their import needs, making them more exposed to a prolonged rise in crude prices. In contrast, the Philippines and India maintain stronger FX buffers, giving their central banks greater capacity to manage currency pressures if oil related outflows intensify.

Philippines: Given the upward revision to our CPI forecasts, we no longer expect the BSP to cut rates this year. Persistently higher oil prices also pose a risk of further delaying the recovery in GDP growth, which is already starting from a muted base. We maintain our 2026 GDP forecast at 5.2%, with a meaningful upturn expected only in the second half of the year. We anticipate weak growth pressures to persist in the first half of 2026, at least, as ongoing investigations and unresolved political and oil price uncertainty continue to weigh on both business confidence and broader economic sentiment.

India: Oil price risks remain manageable for now, as oil marketing companies are absorbing the increase in crude costs without passing them through to retail prices. As a result, we are keeping our CPI inflation forecast unchanged and continue to expect inflation to average below the RBI's medium term target of 4% in 2026. However, the INR remains vulnerable, as higher crude prices are likely to widen the current account deficit and exert additional pressure on the currency.

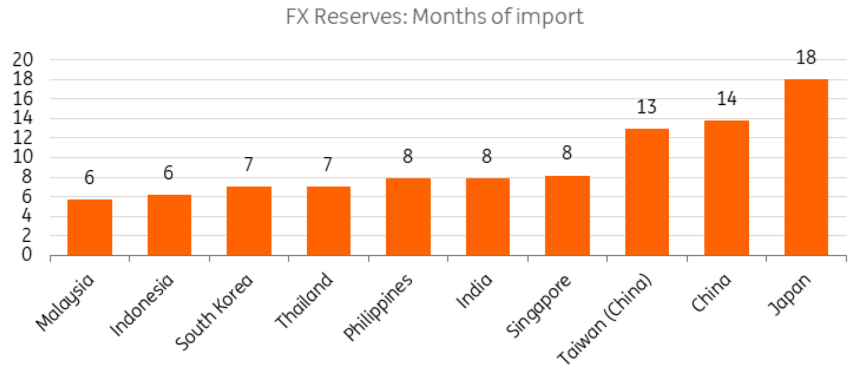
Indonesia: As a net exporter of oil and gas, Indonesia typically benefits from higher global oil prices; however, already strained fiscal balances risk further deterioration as the government increases subsidies on retail fuel. The widening fiscal deficit has already weighed on the IDR, and further deterioration could amplify this pressure.

At the same time, Indonesia's real rate differential versus the US has narrowed sharply – by more than two percentage points between November 2025 and February 2026 – adding to currency headwinds. Compounding this, sizeable foreign investor outflows from government debt since September 2025 and weakening appetite for Indonesian equities in 2026 have further weighed on the IDR, and with investor caution likely to keep FII inflows subdued, we expect additional depreciation pressure ahead.

With relatively lesser pass-through of higher oil prices to retail prices for petroleum products, we are keeping our CPI inflation forecast unchanged at 2.6%. Given the soft domestic growth outlook, we believe BI's easing cycle is not yet complete. Once the currency stabilises, further rate reduction remains likely to support growth. We currently expect two additional 25bp cuts in the first half of 2026, though the risks are skewed toward a delay.

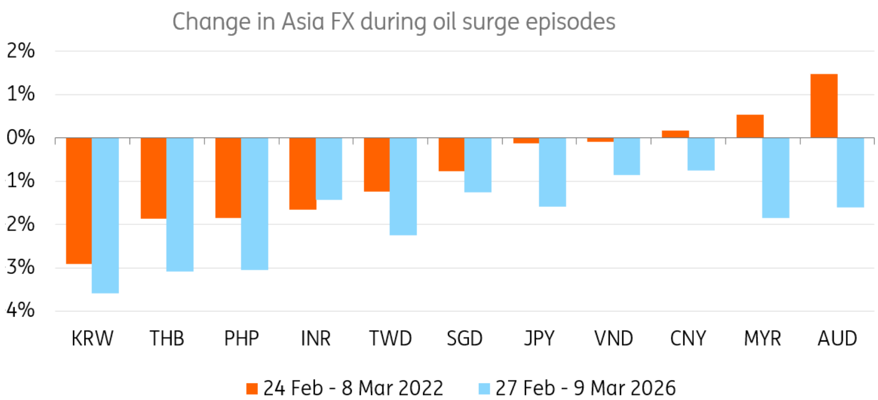
Singapore: Given the expected pass through from higher crude oil prices to domestic pump prices, we are raising our 2026 Singapore headline CPI inflation forecast from 1.8% to 2.0%. Singapore has emerged as a standout performer in Asia, with GDP growth in 2025 significantly surpassing expectations; 4Q25 growth accelerated to 6.9% YoY, driven by a sharp rebound in manufacturing, particularly pharmaceuticals and electronics. The city state has been a clear beneficiary of AI related demand and has maintained competitiveness through its relatively low tariff exposure, supporting robust export performance, a trend we expect to persist. Against this backdrop of strong growth and firming inflation, we continue to anticipate that the Monetary Authority of Singapore will tighten its FX policy stance in April. Singapore's strong fiscal position and substantial current account surplus should also help limit depreciation pressures on the currency.

Malaysia, Indonesia, and South Korea hold comparatively lower FX cover to smoothen FX vols



Source: CEIC, ING Research

FX moves this time have been relatively large vs. 2022



Source: Bloomberg

In conclusion, higher oil prices will strain Asia unevenly, with Thailand, the Philippines and

Korea facing the earliest pressure due to weak buffers, fast pass through and sizeable import dependence, respectively. India and China are better cushioned by coal substitution, while Singapore and Taiwan benefit from strong fiscal and external positions.

Market risks are most acute where reserves are thin and current account deficits widen – particularly the Philippines and Indonesia.

Asia FX forecasts

Currency pair	Spot as on 11 March Current		ING forecasts 1M		12M
USD/CNY	6.86	↑	6.86	↓	6.75
USD/KRW	1,474	↑	1,475	↓	1,400
USD/INR	92	↑	92.5	↓	90
USD/IDR	1,6870	↑	16,900	↓	16,800
USD/PHP	59.1	↑	5,9.85	↓	59
USD/SGD	1.27	↑	1.28	↓	1.27
USD/TWD	31.7	↑	31.9	↓	31

Source: ING research

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ECB preview: Time for a panic room in the ECB's 'good place'

The war in the Middle East and the surge in oil prices revive memories of the ECB s more traumatic experience in recent times: the 2022 oil price shock. While we expect the ECB to remain on hold next week, a more hawkish tone should show that these 2022 memories are still very much alive

ECB President Christine Lagarde in Italy last week

We don't know if ECB President Christine Lagarde has a favourite actor, but if the run up to next week's meeting was turned into a Hollywood film, Jodie Foster would be our pick – not as Clarice Starling in *The Silence of the Lambs*, but as the mother hiding from burglars in a panic room. For the ECB, the war in the Middle East and rising energy prices are the intruders threatening Lagarde's 'good place'. The key question for next week is what Lagarde and the rest of the Governing Council decide to do from inside their own panic room.

Jodie Foster in Panic Room: a mirror for an ECB bracing against geopolitical and energy price intruders

War in the Middle East takes any rate cut discussion off the table

By the time the ECB meets on 19 March, the macro backdrop will have shifted markedly since the last meeting. With the conflict in the Middle East, the risk of inflation undershooting – and any discussion of further rate cuts – should be firmly off the table. Gone is a scenario in which a stronger euro could push down the ECB s own inflation forecasts for longer, leading to a more controversial debate on inflation undershooting and what it would mean for the ECB s credibility.

Oil prices were already rising, and the outbreak of war in the Middle East likely coincided with the cut off date for the ECB's latest forecasting round. But recent market moves will have rendered those projections outdated almost immediately. Like everyone else, the ECB can only work with a range of oil price scenarios. At this point, anything is possible – from a short-lived episode of higher oil prices and some supply chain frictions, to a full-blown energy crisis. The big question for the ECB is, therefore, no longer how to react to an inflation undershooting but rather how to react to another oil price shock.

Tackling oil price shocks has been an important challenge for global central banks since the 1970s. In the case of the ECB, the thinking about how to react to oil price shocks has clearly evolved over the last 25 years.

Phase 1 (1999–2004): "Don't repeat the 1970s". When the ECB was launched, oil prices had just hit a two-decade low but were beginning to rise. Back then, oil shocks were treated as exogenous, supply-side events. What mattered was the domestic response, particularly on wages and inflation expectations, and not so much the source of the shock. For the ECB, reacting to oil price shocks meant preventing second-round effects.

Phase 2 (2004–2008): "It's the source that matters". By the mid-2000s, the ECB's approach became more sophisticated, distinguishing between direct effects on consumer prices and disposable income, indirect effects through the pass-through of higher input costs, and the critical importance of avoiding second-round effects through "appropriate wage reactions." This tripartite distinction became the standard ECB analytical vocabulary for oil price shocks. The ECB also started paying attention to the source of oil price movements. Demand-driven oil price shocks in the eyes of the ECB asked for a much more hawkish reaction than supply-driven shocks. However, even this distinction did not prevent the ECB from making mistakes. In 2008, the ECB under President Jean-Claude Trichet hiked rates, attempting to avoid second-round effects, when the financial crisis was in full swing. A move that had to be corrected only a few months later.

Phase 3 (2010–2020): “Look through becomes consensus”. In the 2010s, the ECB’s view on how to react to oil price shocks took a turn. Based on academic work but also the deflationary or disinflationary episodes, not only the ECB but many major central banks started to look through oil price shocks, focusing on core inflation and inflation expectations. The reasoning was straightforward: oil price shocks had historically been short-lived, and tightening policy in response would likely push down on demand and inflation precisely as the shock was already reversing – amplifying rather than correcting the disruption. This “look through” doctrine was reinforced by the structural observation that the pass-through of oil price shocks to wages and core inflation had declined significantly since the 1970s and 1980s.

Phase 4 (2021–present): “The failed look through”. The 2021-22 episode exposed the limits of the “look through” framework and generated a significant ECB rethink, both on substance and communication. In early 2021, the ECB applied the standard “look through” logic to the initial post-pandemic energy price surge. Inflation was described as “transitory”, a word that became the label of a wrong assessment. Little did they know. Since then, the question is no longer just “is this an oil shock?” but: "what is the starting level of inflation? Are expectations already at risk? Is the shock compounding other inflationary pressures? How persistent is it likely to be?" ECB Executive Board member Isabel Schnabel signalled this new conditionality explicitly: “Monetary policy, for its part, cannot afford to look through energy price increases if they pose a risk to medium-term price stability.” The look-through is conditional, no more automatic.

What do the lessons of the past mean for the current situation?

What do the lessons of the past now mean for the ECB’s current reaction? We shouldn’t forget that the 2022 misjudgement has been imprinted in the ECB’s institutional memory since then. Whether or not it is the right approach, the 2022 experience will shape the current thinking.

Admittedly, this is not yet a 2022 environment as it is mainly a price shock and not a supply shock; Europe doesn’t have to ‘derisk’ from a single energy provider. The labour market also isn t as strong as it was in 2022, with structural transitions and additional wage increases rather unlikely, the economy not going through a post-lockdown boom and governments more hesitant to provide new fiscal stimulus.

At the current juncture, the risk of a wage-price spiral looks small. Still, in a ‘forever war’ scenario of a longer-lasting disruption of the Strait of Hormuz, oil prices above $100/b for several months and knock-on effects on transportation, food prices, and more generally supply chains, are likely to force the ECB’s hand and consider rate hikes. In such a scenario, one or two symbolic rate hikes could be enough to preempt any second-round effects and could strengthen the ECB’s inflation-fighting credibility.

No rate change next week but a more hawkish tone

For next week’s meeting, we don’t expect any rate moves. The latest round of staff projections will be less relevant than normal, being just one of many input variables for the meeting. Who cares about some percentage point model-based revisions of inflation or growth forecasts if the oil price can move $30/b in a few minutes?

The ECB will, however, try to use its second most powerful policy instrument, words, to keep inflation expectations at bay. Sounding a bit more hawkish by, for example, stating that the ECB stands ready to act, is monitoring the situation very closely and would not refrain from any preemptive rate hikes, looks like the most likely outcome. In this context, we don't expect Lagarde to repeat the phrase 'good place'. There is still no reason for the ECB to panic – but installing a panic room within that 'good place' might not seem like such a bad idea for now.

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Disclaimer

Rates Spark: Inflation expectations on the march again

President Trump s words from Monday continue to reverberate, but into a vacuum of ongoing conflict. The oil price has tamed, as has material risk asset angst. But US breakeven inflation and swap spreads are on the march wider. Not great. In the eurozone, the 10Y swap rate is heading for the 3% handle. Here too, a push from inflation expectations

US breakeven inflation and swap spreads are heading wider and the 10Y swap rate in the eurozone is moving up on inflation expectations

Wider front end breakevens and wider back end swap spreads are both problem childs

Monday saw President Trump have a remarkable effect on market pricing, taming the price of oil in particular, mostly on the carrot of an earlier-than-anticipated end to the Iran war. See here. Tuesday saw little change to the onslaught, and words to the effect that the job was not quite done. Wednesday was dominated by the creeping realisation that we were midway through week two, and most likely heading into a third week, at the very minimum.

One positive, post the President s comments on Monday, is the holding pattern for the oil price. It collapsed below Monday s highs, and has held broadly steady since. No doubt this has been helped by preparedness to release strategic reserves where required. But it also reflects the fact that both of these seemingly conflicting outcomes can be true at the same time. More intense short-term attacks *could well* help to bring the whole thing to an end sooner. To be seen.

> *Market breakeven inflation rates have decided that things are getting more troubling again*

Inflation breakevens managed to flat-line at around 3% through Tuesday (using the 2yr tenor), but through Wednesday, they ratcheted right back up to over 3.1%. And this has come through higher nominal yields (as real yields have been broadly steady). The 10yr yield is now up to over 4.2%, and continues to look up.

> *The 10yr yield spread to 10yr SOFR (swap spread) has re-widened, also spelling trouble*

The 10yr swap spread almost hit 50bp on Monday as the price of oil spiked. It then got back down to the low 40s, but it s now back up to the high 40s, and still showing a tendency to rise. This is not great. No doubt an irritant for Scott Bessent, as the cost of re-funding is higher, and at a wider spread to the risk-free rate (the level that would be paid if the fiscal story was considerably more positive).

The rising breakeven inflation rate on the front end and the wider swap spreads on the back end are both impulses that the administration will be keen to avert becoming a material issue. They are the correct reactions, given what s been happening. Aversion of subsequent extremes will require President Trump to be in a position to get back to the tone he struck on Monday, but this time with considerably more finality than we heard through Monday/Tuesday. Until we do, an extrapolation of these moves ahead is in order.

Three conditions to keep pushing for higher 10Y euro swap rates

The 10Y euro swap rate can continue to climb, but we believe this fragile equilibrium requires multiple conditions to hold. The 10Y is closing in on 3%, which would make it the highest level since 2023. Settling above 3% seems possible, but we identify three factors that should stay in a delicate balance to make this work.

First of all, energy prices would have to remain elevated, but also not too high. The current levels are pushing up the entire curve from the front end through near-term inflation expectations. The longer oil and gas prices stay high, the more markets would price in an inflation pass-through. Having said that, energy prices should also not move much higher either. Moving beyond $100 per barrel can start weighing on long-term growth expectations and risk sentiment, which in effect may actually push down the back end of the curve.

Secondly, we would need a reasonably hawkish European Central Bank. Simply dismissing the inflation impact as transitory would be inconsistent with markets pricing in close to 40bp of hikes this year. Whilst some ECB members are more hesitant to offer forward guidance, the most recent remarks from Nagel and Kazimir seem to confirm markets' assessment of a relatively hawkish reaction function. Similar to previous conditions, if the ECB turns too hawkish, however, markets could start building concerns about a policy mistake. In that case, the back end of the curve would actually fall.

The last condition needed to keep pushing up 10Y swap rates would be for market risk sentiment to hold and this could become more challenging over time. So far the S&P 500 is down less than 3% from its peak in February. And that while higher energy costs should be net negative for risk assets over the long term. Meanwhile, AI jitters and private credit can add to investors' worries. A turn in risk sentiment would push investors to more safety and, in that case, 10Y rates would turn lower.

Thursday's events and market views

The market is bound to be even more focused on the geopolitical headlines and oil prices with both the Fed and now also the ECB within their pre-meeting communication blackout periods. Data will come solely from the US, where the weekly initial claims data will provide a contemporaneous read on the state of the jobs market. Other data will be import/export prices, trade balance, as well as housing start numbers for January.

In European government bond primary markets, Italy will auction 3Y, 7Y and 12Y bonds for a total of up to €6bn. Ireland will auction 10Y bonds for up to €1.25bn, the UK ultra-long gilt linkers for £0.5bn while the US will auction US$22bn in 30Y bonds.

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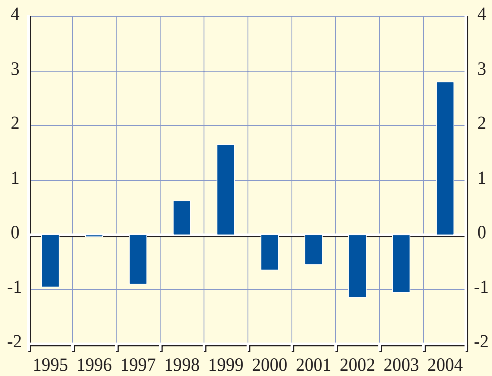
Box 6

THE IMPACT OF THE NUMBER OF WORKING DAYS ON EURO AREA GDP IN 2004

The number of working days in 2004 is unusually large since 2004 is a leap year and several public holidays fall on weekends (e.g. 1 May, as well as 25 and 26 December). As output varies with the number of days worked, this calendar constellation will have a marked impact on this year's unadjusted growth of GDP and its components. The number of working days in 2004 is 2.8 days larger than the average from 1990 to 2004, while it was 1.1 days smaller in 2003 (see chart below). Thus, the unadjusted annual growth rate of GDP will be particularly affected in 2004, since that year has nearly four working days more than 2003, which is the highest working-day difference in recent years.

Deviation of the number of working days in the euro area from the long-term average (1990-2004)



Source: ECB calculations.

The ECB estimates that this calendar effect will contribute around ¼ of a percentage point to the euro area's annual GDP growth in 2004. This number is obtained by aggregating estimations of the calendar impact made separately for Belgium, Germany, Spain, France, Italy and the Netherlands. These six countries account for over 90% of euro area GDP. The estimated size of the calendar effect differs across countries. While the estimated calendar effect for Germany in 2004, for instance, accounts for about ½ a percentage point of annual GDP growth, the effect for France is about 0.2 to 0.3 percentage point, and the effect for other euro area countries is likely to be even smaller. Reasons for this fairly wide range of estimates are the different number of public holidays, additional days of leave granted in some countries when public holidays fall on weekends and different value added shares of sectors whose activities are strongly affected by varying numbers of working days. But there might also be variations in the statistical calculation of quarterly GDP figures that could lead to less pronounced calendar effects in the raw data. Differences across countries, as well as the sizeable impact of the working-day situation in 2004 on euro area GDP, support the view that, for many economic analyses, adjustment for calendar effects is necessary. The quarterly euro area GDP and its components published by Eurostat and used in the ECB's Monthly Bulletin are therefore adjusted for both seasonal and working-day variations.

In estimating the working-day effects, the fact is taken into account that most economic activity depends on a week of five working days, excluding public holidays. An upper limit of the working-day effect may be obtained by assuming that each working day's production is proportional to the annual number of official working days. As the average number of working days in the euro area is about 250 days per annum, the potential effect of one working day more or less on annual output is, at maximum, about 0.4%. However, there are many reasons why the actual working-day impact on GDP is less than proportional. This is due, for example, to industries with continuous production, as well as to retail trade turnover on weekends. Moreover, opposite effects may be observed in branches whose activity is high on weekends and holidays (tourism). On balance, the available estimates suggest that each extra working day in the euro area increases annual GDP by 0.05% to 0.1%.

Middle East escalation could push aluminium above $4,000/t

We have revised our aluminium price forecasts higher as rising conflict in the Middle East introduces fresh upside risks to an already tightening market

Disruptions to Gulf exports could tighten an aluminium market already in deficit

Escalating geopolitical risks could have far-reaching implications for global commodity markets beyond oil and gas, with aluminium particularly exposed given the concentration of export-oriented smelting capacity in the Gulf and the reliance on shipping routes through the Strait of Hormuz.

Key takeaways:

- Rising tensions in the Middle East have introduced fresh upside risks to aluminium markets, which were already expected to remain in deficit this year, prompting us to revise our aluminium price forecasts higher.
- While oil and LNG markets are most directly exposed to disruptions in the Strait of Hormuz, aluminium is likely to be one of the most affected industrial commodities due to the concentration of export-oriented smelting capacity in the Gulf.

- In a severe disruption scenario, aluminium prices could briefly move above $4,000/t, although demand destruction would likely limit further upside.

Middle East conflict raises aluminium supply risks

Rising conflict in the Middle East is introducing new upside risks to aluminium markets, which were already structurally tight. We had previously expected the market to tighten this year with China's capacity cap, trade dislocations and the imminent shutdown of South 32's Mozal already tightening supply. The potential for escalation now introduces further upside risks to this outlook, prompting us to revise our aluminium price forecasts higher.

The Strait of Hormuz is a critical shipping route not only for global oil and LNG flows but also for industrial metals, with a large share of Gulf aluminium exports passing through the corridor. Any disruption to regional shipping would tighten global aluminium availability quickly in a market that is already in deficit.

While oil and LNG markets are the most directly exposed to disruptions in the Strait of Hormuz, aluminium is likely to be among the most affected industrial commodities. The Gulf accounts for roughly 9% of global aluminium production and an even larger share of internationally traded metal. Yet the region produces only around 3% of global alumina and around 1% of bauxite, leaving smelters heavily reliant on imported raw materials. Alumina's limited storability further reduces resilience. While smelters typically hold around three to four weeks of alumina inventories – allowing them to absorb short disruptions – prolonged constraints would quickly translate into production risk.

Extended disruption in the Strait would simultaneously choke alumina inflows and aluminium exports for Middle Eastern smelters. That would tighten global supply meaningfully.

Iran itself produces roughly 0.55-0.60Mt of aluminium annually, but its direct impact on global supply is limited as much of this production is consumed domestically and sanctions restrict international trade flows. The greater market risk stems from potential disruptions to Gulf aluminium exports, and alumina and bauxite imports, passing through the Strait of Hormuz.

Regional exposure to Gulf aluminium exports

Gulf producers are among the largest suppliers of primary aluminium to the global seaborne market, accounting for a significant share of internationally traded metal.

The Gulf produces around 6-6.5Mt of primary aluminium per year, with roughly 5-5.5Mt of exports reliant on shipping routes through the Strait of Hormuz, highlighting the potential impact that disruptions to regional trade flows could have on global aluminium markets.

Not all aluminium exports transit Hormuz – most notably Oman, which ships directly to the Indian Ocean – but a large share of Gulf aluminium trade still depends on the strait or nearby regional routes. Alternative logistics options are limited. Ma'aden could, in theory, truck material to Red Sea ports, but this would be significantly more time consuming and costly.

Aluminium production in the Gulf

Producer	Country	Share of Gulf capacity (%)	Hormuz exposure
EGA	UAE	c.44	Very high
Alba	Bahrain	c.27	Very high
Ma'aden Aluminium	Saudi Arabia	c.12	High
Qatalum	Qatar	c.10	Very high
Sohar Aluminium	Oman	c.6	Low

Source: Company reports, ING Research estimates

Europe is particularly exposed, relying heavily on imports following the decline of domestic smelting capacity. The Middle East accounts for around 30% of its aluminium imports, dominated by the UAE, leaving European premiums especially sensitive given already tight primary availability. Europe's exposure has increased further since the sharp reduction in Russian aluminium flows to Western markets after the invasion of Ukraine.

The US is also exposed, with the region supplying over 20% of imports, though tariff inflated Midwest premiums limit immediate upside.

Recent developments are already affecting aluminium supply chains. Qatalum has begun a controlled shutdown of production following regional tensions, representing a direct loss of supply to the market. At the same time, Alba has declared force majeure on deliveries due to logistics disruptions.

Our three scenarios for aluminium supply disruptions

While the evolution of the Middle East conflict remains highly uncertain, we outline three scenarios assessing how disruptions to Gulf aluminium supply could affect the global market, in line with our energy flows scenarios. Based on these scenarios, we revise our aluminium price outlook higher and assess the resulting market balances and price outcomes under varying degrees of disruption.

In **Scenario 1**, which we consider our base case, we assume a relatively short disruption to regional shipping lasting around four weeks. Exports from Gulf producers are temporarily delayed and some metal accumulates on site, particularly at Alba where deliveries have already been affected. At the same time, the disruption at Qatalum represents a genuine supply shock as production recovers only gradually following a controlled shutdown.

In **Scenario 2**, disruptions persist for longer, with shipping constraints lasting several months. This would further tighten the seaborne aluminium market as export flows from the Gulf remain constrained. In this scenario, we also assume the risk of minor production curtailments across Gulf smelters if logistics disruptions persist and raw material deliveries begin to tighten.

Scenario 3 represents a more severe disruption to shipping through the Strait of Hormuz lasting around three months. In this case, a combination of lost production, stranded metal and broader logistics disruptions could significantly tighten global aluminium availability. At these levels of tightening, prices could briefly move above $4,000/t before demand destruction begins to limit further upside. Prices therefore retrace from peak levels later in the year, although the underlying deficit keeps aluminium well above pre-conflict baseline levels.

Aluminium market balance and price scenarios

Scenario	Structural market balance	Q1 ($/t)	Q2 ($/t)	Q3 ($/t)	Q4 ($/t)
Forecasts prior to attacks	c.600kt deficit	3,150	3,200	3,200	3,250
Scenario 1 (base case): Short disruption	**c.900kt deficit**	**3,200**	**3,400**	**3,350**	**3,400**
Scenario 2: Prolonged disruption	c.900-950kt deficit	3,250	3,650	3,700	3,650
Scenario 3: Severe disruption	c.1.2-1.35Mt deficit	3,300	4,200	4,050	3,900

Source: ING Research estimates

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Disclaimer

Middle East conflict: a blow for airlines on the East-West corridor

The conflict in the Middle East has already led to more than 10,000 flight cancellations, leaving large numbers of passengers stranded and causing major disruption across global travel networks. For airlines, the financial and operational impact is significant

The conflict in the Middle East has already led to more than 10,000 flight cancellations

Intercontinental carriers in the eye of the storm

The outbreak of war in the Middle East on 28 February triggered an immediate wave of flight cancellations across the region. Beyond disrupting travel, it has further complicated intercontinental airspace at a time when geopolitical routing constraints were already high. Over the past decade, the Middle East has become increasingly important for global aviation, with rapidly developed hubs in Abu Dhabi, Doha and Dubai – now the world's busiest international airport – sitting at the heart of East West traffic corridors. As a result, the war affects not only travel to and from the Middle East but also key connecting routes to India, Southeast Asia, Australia and Europe.

Financially, the biggest hit falls on intercontinental carriers operating in the region and Middle Eastern airlines in particular, while US carriers are less affected. Still, most airlines – especially those without fuel hedges – will feel the impact too. This was reflected in the initial stock price reactions on 2 March, and will weigh on first-quarter and potentially second-quarter results.

1 Cancellations come with inefficiencies, extra costs and missed revenue

Large airlines with home bases in hubs in the region, including Emirates, Etihad and Qatar Airways, are involved in the mass cancellations, but European and Asian carriers with intercontinental networks have seen a significant impact on operations as well. Major carriers such as Air France, KLM and Lufthansa have suspended flights to the region for at least most of the week. And the operational impact will likely drag on in the weeks to come. When we compare this with the usually shorter disruptions from severe winter weather or strikes, we know this disorder will weigh heavily on financial results in the first quarter.

2 Airlines are now seeing an even more complicated airspace

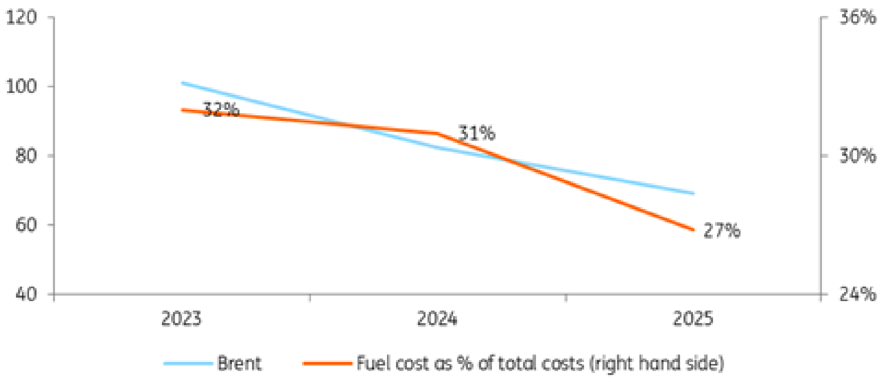
Airlines already operate within a highly sensitive geopolitical landscape, and today's airspace reality is increasingly complex. With Russian airspace closed and multiple Middle Eastern routes now suspended, carriers must navigate a patchwork of restrictions, safety rules and elevated operational risks – making long haul routing more complicated than ever, with rerouted flights and detours. It s still possible to connect East and West, but it could come with longer mileages, flight durations, higher fuel burn and costs.

3 Higher fuel costs will push expenses up – but the impact will vary as hedges soften the blow

Airline fuel costs can account for 20-30% of total airline operating costs, especially for long-haul carriers. When jet fuel prices go up, this quickly leads to higher costs. Jet fuel prices are much more connected to oil price development than fuel prices at the motorway gas station because there are no excise duties available, and most international tickets are also exempted from VAT. Higher fuel prices could quickly lower tight margins in the short run for tickets booked and sold, and airlines will need to adjust their ticket prices to keep revenues up. At the start of the year, oil prices hovered around $60 a barrel, and at the start of March, they were $80. We expect oil prices to come down later on this year, but this depends on the evolving conflict.

Fuel accounted for 27% of operating costs last year, and those costs move closely in line with oil prices

Annual brent prices in $ per barrel and share of fuel costs in total costs for airlines per year (global average)



Source: IATA, ING Research

The impact of this will be uneven, though, and it varies with the extent to which carriers hedged future fuel price rises. This dampens the impact of fuel price volatility in the short term. Several European flag carriers hedge their fuel bills, but it depends on the company s strategy. Air France KLM and Lufthansa fixed fuel costs at 62% and 90%, respectively, at the end of 2025. European low-cost carriers, including Easyjet (80%) Ryanair (around 80%), and Wizz Air (83%) also have high hedge ratios and will largely be shielded from impact as they operate within Europe. Instead, large US carriers American Airlines, Delta Air Lines and United Airlines, usually don t hedge, while Asian carriers also have less conservative policies for managing fuel costs. For US carriers, it means they bear less fallout, but still feel the impact of higher fuel prices.

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War in the Middle East – implications for markets and macro

From cautious optimism on Friday to full-scale US and Israeli strikes by Saturday morning and uncertainty about what s next, military action in the Middle East has the potential to reshape the region – but it could also have significant implications for the global economy and markets

With events in the Middle East still evolving rapidly, two rather abstract scenarios could potentially unfold from here for macro and markets

The coordinated attacks on Iranian military, nuclear, and leadership sites, including the reported killing of Supreme Leader Ayatollah Khamenei, represent a profound shock to Iran's political system and a fundamental rupture in what had still looked, only a few days ago, like an ongoing diplomatic process. A third round of nuclear talks in Geneva had just concluded with the Omani mediator reporting "significant progress". Washington apparently disagreed.

The stated US objective has evolved well beyond nuclear containment. US President Donald Trump's direct address to the Iranian people, "take over your government, it will be yours to take", alongside Israeli Prime Minister Benjamin Netanyahu's framing of "removing an existential threat," makes regime change the explicit goal. That is a significant, legally contested, and historically dangerous step. Middle Eastern history offers little encouragement for the proposition that civilian populations seize orderly control once leadership structures collapse. Power vacuums tend to produce civil war, hardline consolidation, or prolonged fragmentation; sometimes all three.

Contrary to the attacks on Iran last summer, Tehran didn't wait long with its response. Firing back within four hours, hitting Israel, US bases in Bahrain, Kuwait, and Qatar, and civilian infrastructure across the Gulf, shows contingency plans were already on the shelf.

Needless to say, this remains a fast-moving environment. From a market perspective, two rather abstract general scenarios could evolve from here.

Two general scenarios that matter for markets

From here, the possible military and geopolitical scenarios could fill a book and also seem to change by the day. For financial markets, the branching point is simpler and more brutal: does this end in days, or does it become a forever war that involves an entire region?

Scenario 1: Four to seven days, then internal Iranian uncertainty

US and Israeli strikes exhaust fixed military targets quickly, operational tempo drops, and a de facto ceasefire emerges within the week. Iranian retaliation stays bound, damaging enough to be politically useful domestically, but not enough to draw a decisive US counter-escalation. The Strait of Hormuz sees harassment but no serious disruption, partly because Tehran's own oil exports to China depend on it. The regime either survives in weakened form or fractures into a messy internal transition.

For markets, this is the June 2025 playbook: an initial oil spike, which fades as Hormuz disruption fears ease. A temporary war risk premium, with no lasting macro implications.

Scenario 2: Iranian retaliation forces Trump's hand – the forever war

President Trump already said on Sunday evening that the war could last up to four or five weeks. Iranian retaliation, which has hit 10 countries so far, does not point to any imminent de-escalation. In this more severe scenario, strikes continue past fixed military targets into infrastructure and mobile assets, lowering operational tempo but extending the timeline indefinitely. Iran, backed into a corner with regime survival in question, escalates asymmetric economic warfare with sustained harassment of tanker traffic, activation of Houthi attacks on Red Sea shipping, and attempts to disrupt the Strait of Hormuz.

Even partial disruption to a chokepoint handling 20 million barrels per day of oil and over 100 bcm of LNG annually produces a supply shock of historic proportions. The whole region becomes unstable. The market implications are materially different: oil moving toward $100 and beyond, a genuine equity market correction, a flight to bonds that holds rather than reverses, prolonged supply chain disruption for both China and Europe, and a central bank dilemma that has no clear answer.

How to think about implications for the global economy

1 Global trade: A supply shock at the worst possible moment

The Iran war lands on a global trading system that had already been under stress from Trump's tariff offensive and the lingering fragmentation of supply chains since Covid and the war in Ukraine. The Strait of Hormuz is the single most important chokepoint in global energy trade, and it now sits in an active warzone.

Even without a formal blockade, the commercial consequences are already unfolding: insurers are cancelling cover, shipping premiums are spiking, and vessels are re-routing or pausing transits. The knock-on effects extend well beyond energy. Gulf airspace closures are disrupting aviation corridors between Europe and Asia. Houthi reactivation in the Red Sea would close the alternative routing valve that kept goods moving during earlier episodes of Hormuz tension.

In a prolonged conflict, the combination of higher energy costs, disrupted logistics, and a generalised confidence shock would constitute a meaningful drag on global trade volumes at precisely the moment the world economy was still digesting the inflationary and growth consequences of the tariff shock. The mother of all bad timings.

2 The US: Fighting a war that raises domestic prices

For the US, even though the trade exposure to the Straits of Hormuz is limited, higher global oil prices would fuel the current cost-of-living crisis. US consumers are already stretched, and gasoline prices are acutely politically sensitive going into midterm territory. Higher oil prices would also complicate the Federal Reserve s future monetary policy path.

A second supply-side inflation shock, while the inflationary impact from tariffs is still unfolding, could make further r ate cuts hard to justify, at least in the nearer term. At the same time, if the conflict drags and uncertainty weighs on business investment and consumer confidence, the growth outlook darkens too.

The one partial offset is that the US itself is a major oil producer; higher oil prices benefit the shale patch and improve the terms of trade for domestic energy, even as they hurt consumers. But that balance is politically awkward to explain and economically insufficient to compensate for the broader damage.

3 The eurozone: The most exposed major economy

Europe is where the macro consequences hit hardest, and the timing could not be worse. The eurozone was finally emerging from its long period of stagnation, with tentative green shoots of recovery emerging – though recently, these have been undermined by new uncertainty regarding tariffs. Now the region could face an energy shock on top of a trade shock.

Europe imports essentially all of its oil and a significant share of its LNG. A surge in energy prices and potentially even energy supply disruption could bring back memories of the energy cost crisis from late 2021 to 2023. There are currently two important differences compared with the situation back then: Europe doesn t have to derisk from a single important energy provider; and the oil price crisis comes at the end of the winter, not the start.

The European Central Bank is caught in a genuine dilemma. Services inflation is still sticky, and an oil shock would push headline inflation higher – yet the growth outlook is simultaneously deteriorating under the combined weight of tariffs, uncertainty, and now energy costs. Back in December, an ECB analysis showed that a 14% increase in oil prices would push up inflation by 0.5ppt and could reduce GDP growth by 0.1ppt. However, this would only be the price effect, not the supply chain disruption effect. Given the still relatively fresh memories of the recent inflation surge, the ECB is unlikely to see any new oil price-driven inflation spike as transitory or even deflationary. However, to see a rate hike, the eurozone economy would have to show clear resilience.

4 Asia: Inflation and trade balances could come under strain

For now, Asia seems to be able to absorb the jump in oil prices, thanks to the low starting points with inflation broadly in control in most of Asia. However, the severity and persistence of higher prices will ultimately determine the impact. If sustained, Asia is particularly vulnerable to oil price volatility because it relies so heavily on imports; except for Australia, Malaysia and Indonesia, all other economies run deficits in oil and gas trade, leaving them exposed when energy costs rise. If higher prices persist, three factors will shape the impact:

- **Heavy dependence on Middle Eastern oil**: A significant share of Asia's crude supply comes from the Persian Gulf. Japan and the Philippines rely on the region for almost 90% of their oil needs, while China and India import roughly 38% and 46% respectively. Any disruption in the Strait of Hormuz – a critical shipping lane – would restrict supply, potentially causing shortages that slow business activity and put pressure on manufacturing across Asia.
- **Trade balances under strain**: Even without a physical supply disruption, higher global oil prices worsen trade balances and add to inflation pressures. Thailand, Korea, Vietnam, Taiwan, and the Philippines are the most exposed. A mere 10% rise in oil prices can deteriorate current account balances by 40-60 basis points. Prolonged increases would only deepen these deficits.
- **Strong inflation pass through**: Because many emerging Asian economies have a relatively high weight of energy in their consumer inflation baskets, rising oil prices feed quickly into headline inflation. On average, a 10% increase in oil prices raises CPI inflation by about 0.2 percentage points.

Our base case had headline inflation across most of Asia rising in 2026 but still staying within most central bank targets. But a price shock of this magnitude – if it lasts – would likely push inflation above target ranges and increase the pressure on central banks to tighten policy sooner rather than later.

What the two scenarios would mean for financial markets and the global economy

In **Scenario 1**, the macro story is noise. A temporary oil spike, some safe-haven positioning, and back to the existing agenda of tariffs, growth differentials, and AI.

In **Scenario 2**, the channels are oil, uncertainty, and the impossible central bank dilemma these create together. In this scenario, oil prices could run toward $100-140. For European gas, if LNG markets start pricing in extended losses to Qatari supply, TTF could spike toward €80-100/MWh. Sustained high oil prices could meaningfully delay monetary policy easing. Even though an oil price shock could also be seen as deflationary, the recent inflation period will prevent most central banks from reacting with monetary policy easing to a new oil price shock.

The initial safe-haven reflex is clear.
Treasuries and Bund yields would move down, gold would increase, as we saw both this morning and as early as Friday, when markets started to anticipate military action. The safe-haven reflex fades if oil stays elevated and inflation re-accelerates.

On FX, investors will be contemplating a re-run of the March 2022 playbook, where US energy independence saw the dollar rally broadly against the fossil fuel importing currencies of Europe and Asia. The Fed's broad trade-weighted dollar rallied 10%+ over a six-month period, where crude prices stayed elevated for a quarter, but European natural gas prices stayed sky-high for nearly six months.

Expect both the euro and the yen to come under sustained pressure from a prolonged spike in crude prices, while we could see some exceptionally sharp reversals in EM currencies involved in the carry trade. In Europe, that would leave the Hungarian forint as one of the most vulnerable, while there would also be much scrutiny on whether Turkish policymakers could manage outflows from the crowded lira carry trade. But in short, this year's virtuous circle of flows out of the dollar and into EM could reverse and turn vicious.

How the current energy supply risks compare to 2022

For oil and gas markets, there will likely be some parallels made with 2022 and Russia's invasion of Ukraine. The oil supply at risk from a successful blockade of the Strait of Hormuz is roughly 15-20% of global supply, depending on much supply the Saudis can divert by pipeline to the Red Sea. This is significantly higher than the 7-8m b/d of Russian oil supply (which is around 7-8% of global supply) that was at risk during the early days of the Russia-Ukraine war, when we saw Brent spike to almost $140/bbl.

However, helping to a certain degree at the moment is that oil inventories are more comfortable than they were in the lead up to Russia's invasion of Ukraine. OECD stocks are in the region of 200m barrels higher now versus prior to the Russia/Ukraine war. But still, a two-week full blockade would essentially see this buffer disappear, leaving significant upside to prices.

For natural gas, as much as 125bcm of LNG flows are at risk, which is around 3% of global natural gas consumption, but 22% of global LNG trade. However, the roughly 15bcm that Oman exports will be at less of a risk, given cargoes don't need to navigate the Strait of Hormuz, but will still be in close proximity to danger.

In the lead up to Russia's invasion of Ukraine, close to 160bcm of Russian gas (pipeline and LNG to the EU) was at risk. The market is relatively better positioned now, given the build up of LNG export capacity, largely from the US. Since the beginning of 2025 we have seen around 40bcm of US capacity starting up, while a further 14bcm is set to start this year, and there will be significantly more in the years ahead. However, in the immediate term, capacity additions fall well short of potential Persian Gulf supply losses.

A tighter market would see Asia and Europe competing more aggressively for LNG cargoes, pushing up prices. Price-sensitive buyers in Asia will likely step back from the market, while Europe would likely not make the same mistake as it did in 2022, where buyers bought aggressively regardless of price levels.

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